

Term Sheet — Series A Financing

Fictional demonstration document. Summary of the principal terms of a proposed Series A financing of Aurora Ledger Technologies UG (the "Company") by Beispielkapital Partners Fund II (the "Lead Investor"). Except as set out in Section 5.3, this term sheet is non-binding.

Article I Offering Terms

Section 1.1 Amount and Investors

The Lead Investor will invest EUR 6,000,000 and additional investors up to EUR 2,000,000, for a total round size of up to EUR 8,000,000, in newly issued Series A preferred shares.

Section 1.2 Valuation

The pre-money valuation is EUR 24,000,000, resulting in a post-money valuation of up to EUR 32,000,000. The price per share will be determined on a fully diluted basis, including the employee option pool described in Section 1.3.

Section 1.3 Employee Option Pool

Prior to closing, the Company will create or increase an employee participation pool to 15 % of the fully diluted share capital. The pool will be created pre-money and is therefore included in the fully diluted capitalization used to compute the price per share, diluting the existing shareholders.

Article II Economic Rights

Section 2.1 Liquidation Preference

In the event of any liquidation, dissolution, winding up, sale of the Company or other deemed liquidation event, the holders of Series A shall be entitled to receive, prior and in preference to any distribution to the holders of common shares, an amount equal to 1.5 times the original issue price, plus declared but unpaid dividends. Thereafter, the holders of Series A participate pro rata with the common shares in the remaining proceeds, provided that the aggregate amount received per Series A share shall not exceed 3.0 times the original issue price.

Section 2.2 Anti-Dilution

If the Company issues shares at a price per share below the Series A issue price, the conversion price of the Series A shall be adjusted on a broad-based weighted average basis. Customary exceptions apply, including issuances under the employee pool.

Section 2.3 Dividends

Non-cumulative dividends of 6 % per annum on the original issue price, payable when and if declared, in preference to any dividend on common shares.

Article III Governance

Section 3.1 Board Composition

The advisory board will consist of five members: two appointed by the founders, two by the Lead Investor, and one independent member appointed jointly. Board approval requires a simple majority including at least one investor representative.

Section 3.2 Investor Consent Matters

The consent of the Lead Investor is required for, among other things: amendments to the articles; issuance of new shares; incurrence of indebtedness above EUR 250,000; disposal of material assets or intellectual property; adoption of and material deviations from the annual budget; transactions with related parties; and the initiation of insolvency or liquidation proceedings.

Section 3.3 Information Rights

The Company will provide monthly reporting within 15 business days of month end, audited or reviewed annual financial statements within 120 days of year end, and an annual budget no later than 30 days before the start of each financial year.

Article IV Founder Terms

Section 4.1 Founder Vesting

The founders' shares will be subject to reverse vesting over 48 months with a 12-month cliff, credit being given for 18 months already served. Unvested founder shares may be called at nominal value if a founder leaves as a bad leaver.

Section 4.2 Lock-up and Transfer Restrictions

Founders may not transfer shares for 36 months after closing without investor consent. Customary rights of first refusal and co-sale apply to all transfers.

Section 4.3 Drag-Along and Tag-Along

Shareholders holding at least 60 % of the voting shares, including the Lead Investor, may require all other shareholders to sell in a trade sale (drag-along). Each shareholder has a pro rata tag-along right in any sale by founders or major shareholders.

Article V Process

Section 5.1 Exclusivity

For a period of 60 days from countersignature, the Company and the founders will not solicit, encourage or negotiate any competing financing or sale transaction and will inform the Lead Investor of any unsolicited approach.

Section 5.2 Expenses

At closing, the Company will reimburse the Lead Investor's reasonable legal and due diligence expenses up to EUR 40,000 plus VAT.

Section 5.3 Binding Effect

This term sheet is non-binding except for this Section 5.3 and Sections 5.1 and 5.2, which are legally binding and governed by German law. Exclusive venue is Berlin.